4. Restrictive endorsement	When an endorsement restricts or prohibits further negotiability of the instrument, it is called Restrictive Endorsement. The omission of the words "or order" does not render the endorsement restrictive.	Pay Sundar only "Pallavan" Pay Sundar for my use "Pallavan"
5. Sans recourse endorsement	Ordinarily the endorser becomes liable to subsequent parties in the event of dishonour of the instrument. But if he makes it clear that the subsequent holders should not look to him for payment in case it is dishoured, the endorsement is called Sans Recourse Endorsement.	Pay to Varsha or order sans recourse "Pallavan" Pay to Shalini or order without recourse to me "Hemakumar"
6. Facultative Endorsement	To make an endorser liable on the instrument, notice of dishonour must be given to him. But if the endorser waives this right by a writing "Notice of dishonour waived" at the time of endorsing, it is called Facultative Endorsement. Even though Radha gives up her right to receive notice of dishonour he remains liability for non-payment.	Pay to Aruvi or order, Notice of dishonour waived "Radha"
7. Partial Endorsement	Where the endorsement seeks to transfer only a part of the amount payable under the instrument, the endorsement is called Partial Endorsement. Partial endorsement does not operate as a negotiation of the instrument. If however, part of the amount has already been paid or settled, a note to that effect may be made on the instrument which may then be negotiated for the balance.	"Pay Rs. 700 to Sanjay or order out of the bill originally drawn for Rs. 1000" (Rs. 300 has been settled out of Rs. 1000) Note: to the effect of settlement of Rs. 300 is to be given in the instrument "Pay Rs. 700 to Sanjay or order out of bill of Rs. 1000 the whole amount of which is outstanding (The above endorsement is invalid)

Key Words

Negotiability	Instrument	Crossing	Assignability	Cheque
Bill of exchange	Endorsement	Promissory note	Dishonour	Bearer

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